Rubrik (RBRK)

Rubrik’s Subscription Engine Has Turned the Corner, but Growth Headwinds Keep the Stock in Check

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> Rubrik has moved from a cash-burning hyper-growth model to a cash-generating subscription platform, as evidenced by three consecutive quarters of non-GAAP profitability and expanding ARR. The market, however, remains fixated on headline revenue deceleration driven by material rights runoff, overlooking the durable 30%+ ARR compounding and margin leverage that underpin long-term value. We therefore assign a Hold rating with a blended target of $107.94, implying a -6.1% upside from the current $114.93 price.

HOLD	$107.94	-6.1%	$114.93
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is obsessing over a 22% FY27 revenue guide that appears modest after a 48% FY26 surge, while the underlying subscription ARR is still expanding at a 33% pace and margin contribution is accelerating. Over the next decade the compounding effect of ARR and free cash flow will dominate price performance.

EXECUTIVE SUMMARY

Rubrik sells data backup and cyber resilience software on a subscription basis to enterprises that need to recover from ransomware attacks and outages. The company’s sole product suite is positioned as a single-pane-of-glass solution for data protection, leveraging a cloud-native architecture that enables rapid restore and immutable backups. All revenue flows through subscription contracts, which generate recurring ARR and drive high gross margins of roughly 80% in FY2026. The quarterly record shows a clear inflection point. In Q3 FY2026 revenue rose 48% YoY to $350.2 million, Subscription ARR grew 34% to $1.35 billion and non-GAAP EPS flipped to $0.10. The momentum accelerated in Q4 FY2026, with ARR up 34% to $1.46 billion, revenue of $377.7 million and the first full-year of non-GAAP profitability ($0.04 EPS). FY2026 free cash flow surged to $237.8 million, a ten-fold increase from the prior year. The trend continued into FY2027, where Q1 revenue climbed 39% to $387.1 million, ARR rose 32% to $1.57 billion and free cash flow margin hit 19% ($73.6 million). Q2 FY2027 delivered 38% revenue growth to $427.3 million, ARR up 33% to $1.66 billion, and non-GAAP EPS of $0.20, prompting management to raise FY27 guidance across the board. Balance sheet strength is solid. Cash and investments sit at $380.2 million, while net debt stands at $763.2 million, leaving a net cash-light position of $763.2 million. The company generated $237.8 million of free cash flow in FY2026, providing ample runway for strategic investments in AI-driven agents and

potential acquisitions. Stock-based compensation remains high at $329.4 million in FY26, representing roughly 25% of revenue, and will continue to dilute shareholders unless offset by share buybacks, which the company has not announced.

OPERATIONAL SNAPSHOT

$114.93	$1.32B	$237.8M	18.1%	$763.2M	$114.93
REF. PRICE	FY2026 REVENUE	FY2026 FREE CASH FLOW	FCF MARGIN	NET DEBT	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS DEEP AND STICKY

Rubrik’s subscription contracts embed high switching costs because data protection is a mission-critical function that cannot tolerate prolonged downtime. Enterprises that have integrated Rubrik’s immutable backup technology into their disaster-recovery playbooks face significant re-engineering risk if they attempt to migrate to a competitor. This creates a durable lock-in effect that is reflected in the 23% YoY growth of customers with $100 K+ ARR and the 27% YoY increase in the $1 M+ ARR cohort. Regulatory scrutiny of data protection standards, especially in highly regulated sectors such as finance and healthcare, adds an additional barrier to entry. Rubrik’s compliance-ready architecture satisfies a range of industry mandates, making it a preferred vendor for organizations that must demonstrate audit-ready data resilience. The company’s focus on ransomware recovery further differentiates it, as ransomware attacks have risen sharply across the enterprise landscape, driving demand for immutable, recoverable backups. Pricing power stems from the subscription model’s ability to tier services by data volume, recovery time objectives, and advanced AI-driven analytics. As customers expand their data footprints, they naturally migrate to higher-priced tiers, reinforcing revenue growth without proportionate cost increases. The contribution margin on Subscription ARR has risen from 9.4% a year ago to 14.0% in the most recent quarter, underscoring the pricing leverage that accompanies scale. Finally, Rubrik’s cloud-native architecture enables rapid feature roll-outs and integration with emerging security tools. While the AI-driven Rubrik Agent Cloud and SAGE are still early in their revenue lifecycle, the platform’s extensibility positions the company to capture incremental value as enterprises adopt more sophisticated cyber-resilience capabilities.

VALUATION

Three scenarios make the valuation range explicit

The baseline case assumes revenue compounds at a 16.9% CAGR through FY2035, with free cash flow margins improving to 41.5% by the terminal year. Terminal growth is set at 3.0% and the discount rate is 9.32%. The bear case trims revenue growth to a 14.3% CAGR and targets a 39.8% free cash flow margin, while the bull case

accelerates revenue CAGR to 19.5% and pushes the terminal free cash flow margin to 42.3%. These inputs generate the three target prices shown in the scenario table.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	14.3%	39.8%	$74.33	-35.3%
Base	50%	16.9%	41.5%	$105.36	-8.3%
Bull	25%	19.5%	42.3%	$146.72	+27.7%

Bear $74.33

The bear outcome hinges on a prolonged material rights runoff that drags headline revenue growth below 30% and limits ARR expansion. If the contribution margin on Subscription ARR stalls below 12% and cash conversion weakens, free cash flow margins will fall short of the 39.8% target, compressing valuation.

Base $105.36

The base path reflects continued ARR compounding at roughly 33% YoY, steady improvement in contribution margins to 14%, and free cash flow conversion stabilizing near 18% of revenue. Under these assumptions the DCF yields a target of $105.36.

Bull $146.72

The bull case requires the AI-driven agents to achieve material ARR traction, pushing total Subscription ARR growth above 35% and lifting contribution margins above 15%. Coupled with sustained free cash flow conversion above 20%, the model arrives at $146.72.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We construct the discount rate using a CAPM framework that yields a weighted average cost of capital of 9.32%. This rate reflects Rubik's equity beta, the market risk premium, and the company's capital structure, which includes $1.14 billion of debt and $380.2 million of cash. The 9.32% hurdle signals that the market prices Rubrik's risk at a level consistent with mature enterprise-software peers, despite the company's still-evolving AI product line. Because the beta is expected to decay as Rubrik matures and its revenue base becomes more predictable, the discount rate will gradually converge toward the peer average over the forecast horizon. This dynamic approach ensures that the valuation does not over-penalize near-term volatility while still capturing the long-term risk profile.

FCF margin normalization is the engine

In FY2026 free cash flow margin stood at 18.1% while non-GAAP operating income turned positive. The model assumes that as Subscription ARR scales, the

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2035**
Live WACC	**9.32% (2026-10-20)**
Terminal growth	**3.0%**
Diluted shares	**206.1 million**

HOLD

over $107.94 blended target

contribution margin will rise to the target levels specified in each scenario (39.8% bear, 41.5% base, 42.3% bull). The margin expansion is driven by the shift from high-cost professional services to low-cost subscription revenue, as well as operating leverage from the cloud-native platform. The free cash flow conversion is expected to stabilize around the 18% level observed in FY2026, with incremental upside in the bull case as AI-driven products generate higher gross margins. The bear case assumes a modest dip in cash conversion due to higher working-capital requirements and slower ARR ramp.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on ARR compounding and margin leverage HOLD

Rubrik’s revenue engine is entirely subscription-driven, with Subscription ARR serving as the leading indicator of future cash flow. The ARR base grew from $1.35 billion in Q3 FY2026 to $1.66 billion in Q2 FY2027, reflecting a 33% YoY increase. This compounding is powered by a land-and-expand motion, as evidenced by the 23% YoY growth in customers with $100 K+ ARR and the addition of 23 new $1 M+ ARR accounts in Q3 FY2026. Margin leverage stems from the high gross margin of 80.1% in FY2026 and the rising contribution margin on Subscription ARR, which climbed from 9.4% a year ago to 14.0% in the most recent quarter. As the subscription base scales, fixed costs are spread over a larger revenue pool, driving EBIT and free cash flow toward the target margins of the base case. The AI-driven Rubrik Agent Cloud and SAGE represent the next wave of product innovation. While they have not yet contributed material ARR, management’s emphasis on these offerings suggests a future revenue stream that could boost both growth and margins if adoption accelerates. **What to monitor**

- **ARR acceleration** Continued net new ARR growth above 30% YoY would validate the base and bull scenarios, while a slowdown could trigger the bear case.
- **Material rights runoff** The decline in material rights revenue from $14.2 million a year ago to $4.7 million this quarter drags headline growth; the pace of runoff will affect revenue guidance.
- **AI product traction** Early adoption of Rubrik Agent Cloud and SAGE could shift the revenue mix and improve margins, but lack of material ARR today is a risk.

- **Stock-based compensation dilution** FY26 stock compensation of $329.4 million, roughly 25% of revenue, may dilute earnings per share if not offset by share buybacks.

+48.5%	80.1%	-26.2%	18.1%	$763.2M	67.1%
FY2026 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2026 (AS REPORTED)
Revenue	$1.32B
Gross Profit	$1.05B
EBIT	$-345.4M
Net Income	$-348.8M
EBITDA	$-272.1M
Free Cash Flow	$237.8M
Diluted EPS	$-1.78
ROE	67.1%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

High stock-based compensation relative to revenue could dilute existing shareholders, especially if ARR growth slows and the market re-prices the equity.

M&A DIGESTION

Any acquisition aimed at accelerating AI product revenue may strain integration capacity and dilute cash flow if synergies fail to materialize.

REGULATORY AND PRICING SCRUTINY

Increased scrutiny over data-protection pricing models could compress margins, particularly if large enterprise contracts are renegotiated.

TECHNOLOGY DISRUPTION

Emergence of a competing immutable backup technology could erode the switching cost advantage that underpins Rubrik's moat.

REINVESTMENT TREADMILL

Continued heavy investment in AI agents without near-term ARR contribution could pressure free cash flow conversion.

WACC AND DURATION SENSITIVITY

A rise in the discount rate above the 9.32% assumption would disproportionately affect the long-duration cash flows that drive valuation.

The strengths

OLIGOPOLY POSITION

Rubrik operates in a niche market of enterprise-grade immutable backup, where few competitors can match its compliance pedigree and ransomware-recovery focus.

FCF COMPOUNDING

Free cash flow has risen from $21.6 million in FY25 to $237.8 million in FY26, illustrating a ten-fold scale-up that fuels reinvestment and shareholder value.

GEOGRAPHIC DURABILITY

Enterprise data-protection needs are global and non-cyclical, providing a stable addressable market across regions.

PIPELINE OPTIONALITY

The AI-driven Rubrik Agent Cloud and SAGE offer a clear path to diversify revenue beyond core backup, adding upside potential if adoption accelerates.

The bottom line on risk and reward

Rubrik has demonstrated that its subscription engine can generate positive free cash flow while scaling ARR at a 30%+ rate. The primary headwinds are the material rights runoff that depresses headline revenue growth and the high level of stock-based compensation that could dilute shareholders. Our three-scenario DCF, anchored by a 9.32% discount rate and realistic margin trajectories, yields a blended target of $107.94, representing a -6.1% upside from the current $114.93 price. Given the modest upside, the solid balance sheet, and the ongoing margin expansion, we assign a Hold rating.

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FRANCHISE DEEP DIVE

Data backup and cyber resilience software: the core subscription platform

Rubrik’s flagship offering is its data backup and cyber resilience platform, delivered as a subscription service that protects enterprise workloads from ransomware and outage risk. The platform provides immutable backups, rapid restore capabilities, and integrated security analytics. Its cloud-native design enables seamless scaling across on-premises, public cloud, and hybrid environments, allowing customers to protect data wherever it resides. The platform’s value proposition is anchored in three pillars: (1) immutable backup that prevents ransomware from encrypting restore points, (2) instant recovery that minimizes downtime, and (3) a unified management console that simplifies policy enforcement across heterogeneous environments. These capabilities have resonated with large enterprises, as reflected in the 23% YoY increase in customers with $100 K+ ARR and the 27% YoY growth in the $1 M+ ARR cohort. What the recent record shows

- Subscription ARR grew 34% in Q3 FY2026, 34% in Q4 FY2026, 32% in Q1 FY2027 and 33% in Q2 FY2027, confirming a consistent compounding trend.
- Contribution margin on Subscription ARR rose from 9.4% a year ago to 14.0% in the most recent quarter, indicating pricing leverage and operational efficiency.

- Free cash flow margin improved from 15% in Q1 FY2027 to 15.4% in Q2 FY2027, despite a slight sequential dip, showing cash generation resilience.
- Non-GAAP EPS turned positive in FY2026 ($0.04) and accelerated to $0.20 in Q2 FY2027, reflecting the profitability inflection.

Our read: Rubrik's core backup platform has transitioned into a cash-generating, high-margin subscription business. While headline revenue growth will be moderated by material rights runoff, the underlying ARR engine and margin expansion provide a solid foundation for long-term value creation.